Philip Morris International (PM)

The profit from smoke-free migration

Research date: October 20, 2026 | NYSE common shares

Framework v8.0 | NOT HELD | FAIL | Analytical score 35/60, scaled to 58/100. Competitive nicotine franchise; no indispensable supply-chain bottleneck demonstrated.

October 19, 2026 regular-close snapshot: approximately $201 per share. The operating analysis below uses the Q4 2027 horizon.

Writing-date header snapshot: approximately 1,559 million ordinary shares/ADS equivalent (latest company share control, June 30, 2026); market capitalization approximately $313,357 million. These header observations do not enter the operating ceiling.

IQOS converts a large cigarette franchise into a recurring consumables business with higher revenue and gross profit per nicotine-equivalent unit. That can lift earnings even when total nicotine consumption grows slowly. US ZYN recovery and a possible US ILUMA launch add opportunities, but promotional pricing, consumer acquisition and factory costs determine how much growth reaches operating profit.

The strongest economic engine is international smoke-free conversion. The model gives credit for a faster migration outcome while retaining a competitive downside. Brand, device and regulatory barriers support the franchise; consumers have several credible alternatives, so an indispensable supply bottleneck is not established.

Analytical Base	Framework result	Active operating ceiling	Valuation basis
58 / 100	Fail	$187	15x GAAP operating profit

The analytical Base measures thesis quality. It is separate from the probability assigned to an individual commercial outcome. The operating ceiling is a model estimate from forward four-quarter profit; it does not include dividends or a price-dependent return calculation.

The business and the source of potential excess returns

A higher-value recurring wallet

PMI earns revenue from cigarettes, heated-tobacco consumables, oral nicotine, vapour and smaller businesses. Net revenue excludes excise. Its 2026 reporting separates international smoke-free, international combustibles and the United States. The US segment includes cigars, legacy oral and wellness alongside ZYN, so it cannot be treated as a pure pouch business.

Why mix can improve profit

CAGNY illustrates that smoke-free products generate substantially more net revenue and adjusted gross profit per equivalent unit than cigarettes. Those historical portfolio averages establish an economic mechanism, rather than a universal price or margin for every market. Consumer switching, better device retention and consumable purchases can expand PMI's share of the nicotine wallet. Device subsidies, commercial spending and cigarette substitution absorb part of that gain.

The competitive barrier

IQOS has an installed consumer base, device technology, distribution and regulatory evidence. Competitors include BAT glo, Japan Tobacco Ploom, competing pouches and vapour products. These barriers make entry expensive but do not force a consumer to buy PMI. The opportunity rests on superior consumer economics and execution, with no AI demand assumption.

Reported results and the current guide

The latest reported period is the first half of 2026, released July 22. Q3 results are scheduled for October 21 and remain a future catalyst at this report's October 20 cutoff. H1 net revenue was $21,338 million and GAAP operating profit $8,423 million. The three segment gross-profit pools total $14,564 million before marketing, administration, research and corporate expenses.

The September 8 update guides adjusted EPS of 835-850 cents, with 5-7% organic revenue growth and 7-9% organic adjusted operating-profit growth. These are different measures from nominal US-dollar GAAP operating profit. The model therefore builds operating profit directly and retains acquired-intangible amortization and other operating costs.

H1 GAAP operating profit of $8,423 million plus $503 million amortization and $30 million restructuring, less a $15 million Egypt sales-tax credit, reconciles to adjusted operating profit of $8,941 million. Corporate costs of $303 million remain included. The EPS currency benefit also includes effects below operating profit and cannot be converted wholesale into operating-profit translation.

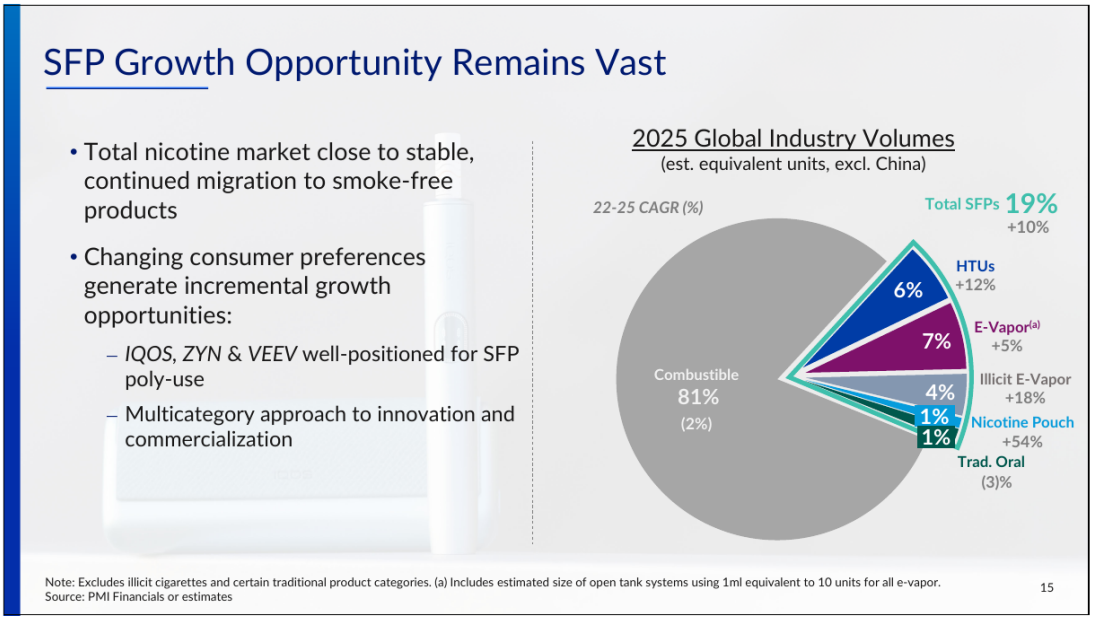
The latest two official prepared management scripts and the full hosted Q1 and Q2 management Q&A were reviewed. Product-specific realization and acquisition-cost assumptions carry more uncertainty than the reported segment totals.

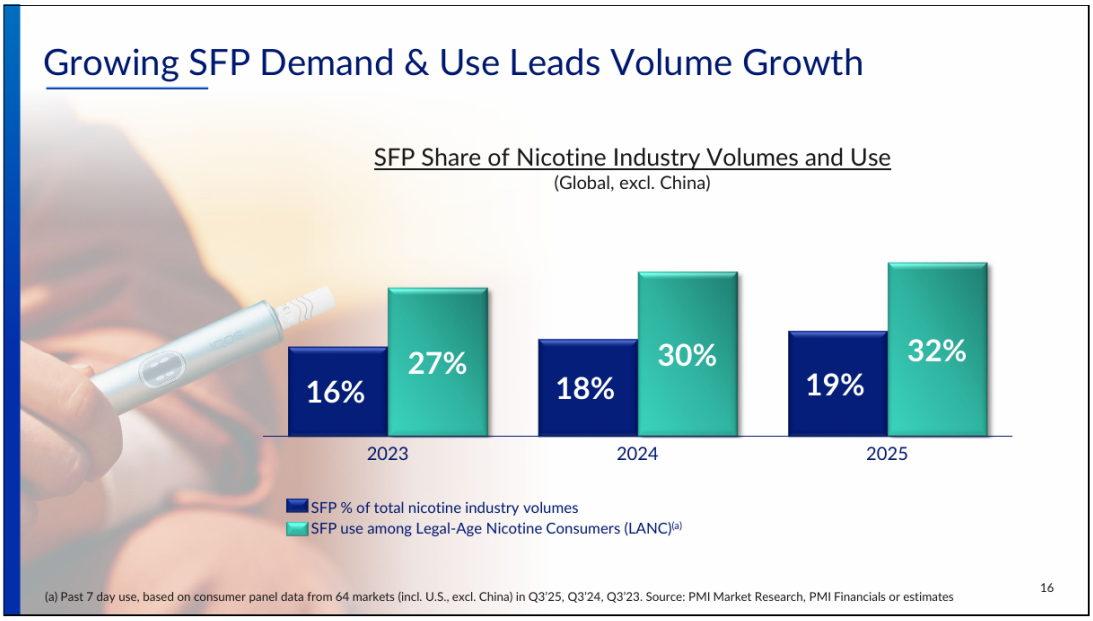
Period	Revenue	Gross profit	Costs below GP	Operating profit
FY2025 actual	40,648	27,304	12,412	14,892
H1 2026 actual	21,338	14,564	6,141	8,423

USD million. FY2025 gross profit uses the 2026 segment recast; operating profit is unchanged by that presentation change. The FY2025 below-GP cost is derived gross profit less GAAP operating profit.

Adoption, company capture and the competing alternatives

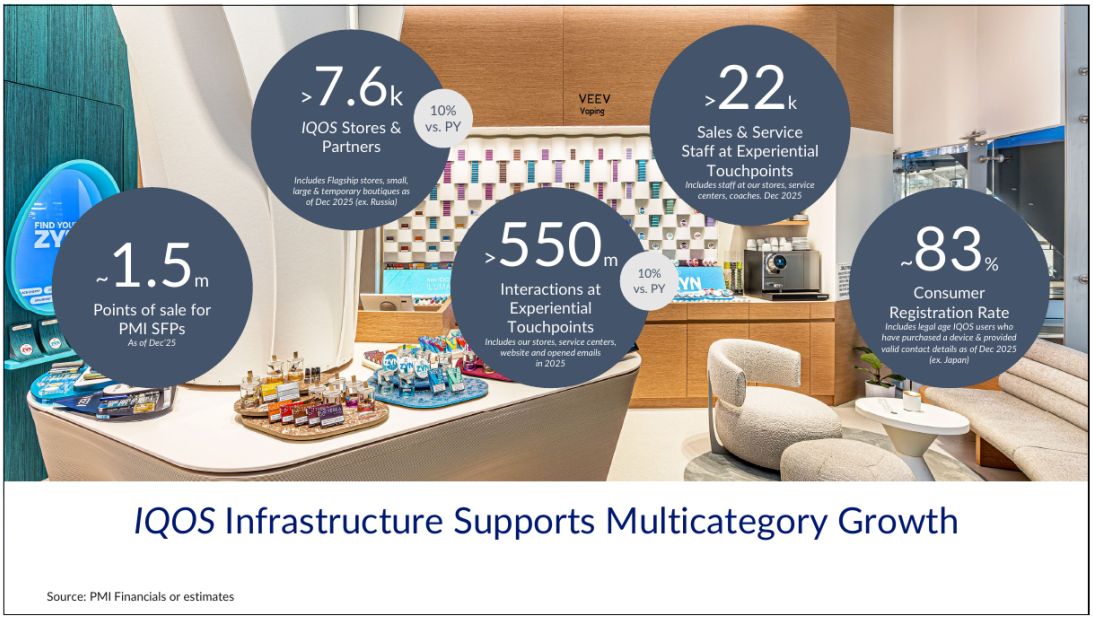
Nicotine migration differs across markets

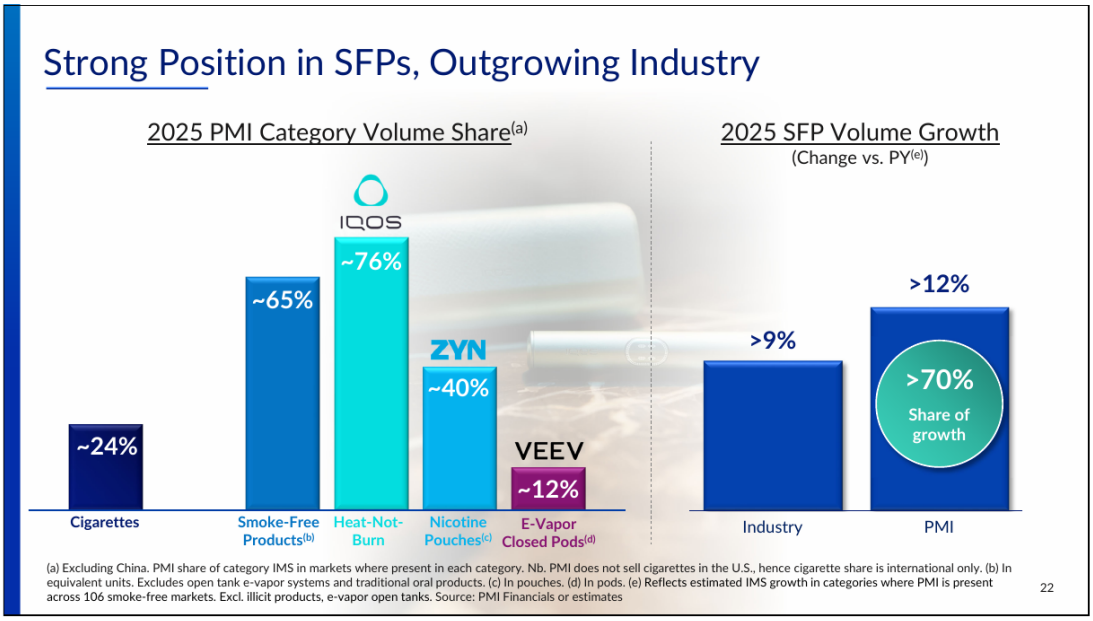




Industry mix excludes China and uses equivalent volumes. Legal-market access and consumer adoption determine PMI capture; the full industry wallet is not added to company revenue. Source: PMI CAGNY presentation, February 18, 2026, PDF page 8.

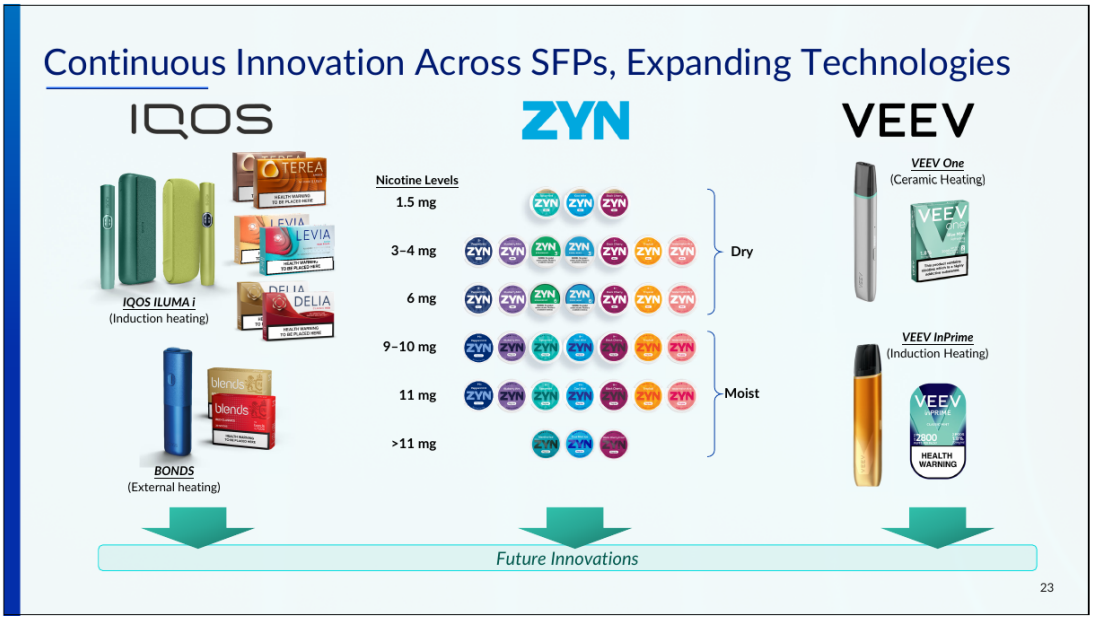
Distribution and category positions

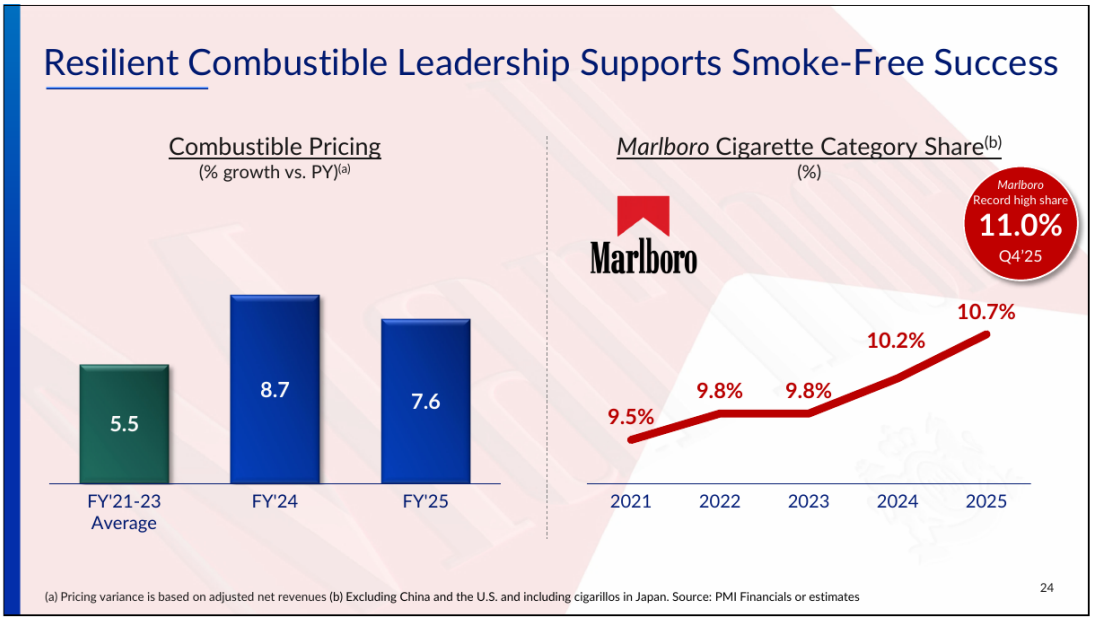




Shares apply to the stated countries, periods and categories. Global ZYN volume share and US retail value share use different denominators. Source: PMI CAGNY presentation, February 18, 2026, PDF page 11.

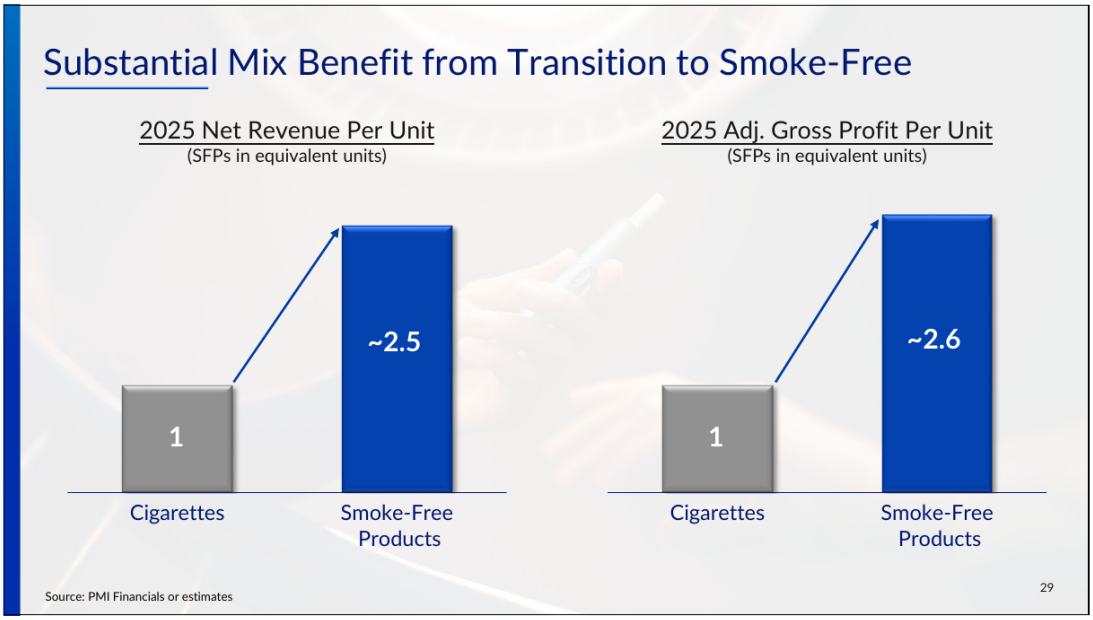
Technology, strengths and pricing

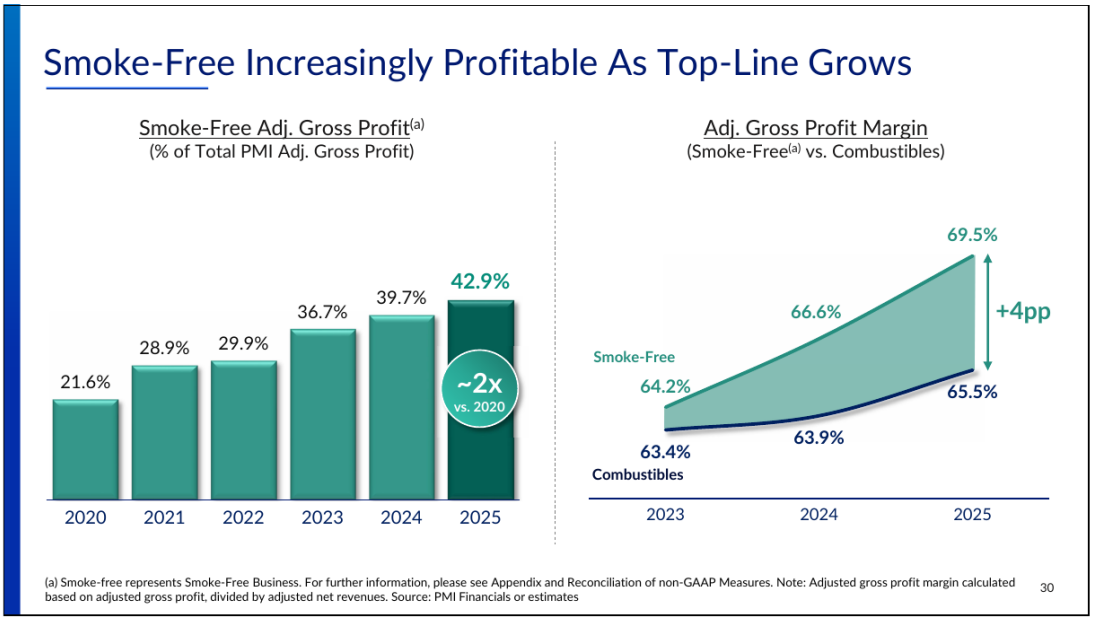




The February global portfolio shows the breadth of the commercial platform. A product shown here has US market access only if covered by its specific US authorization. Source: PMI CAGNY presentation, February 18, 2026, PDF page 12.

Higher value per equivalent unit

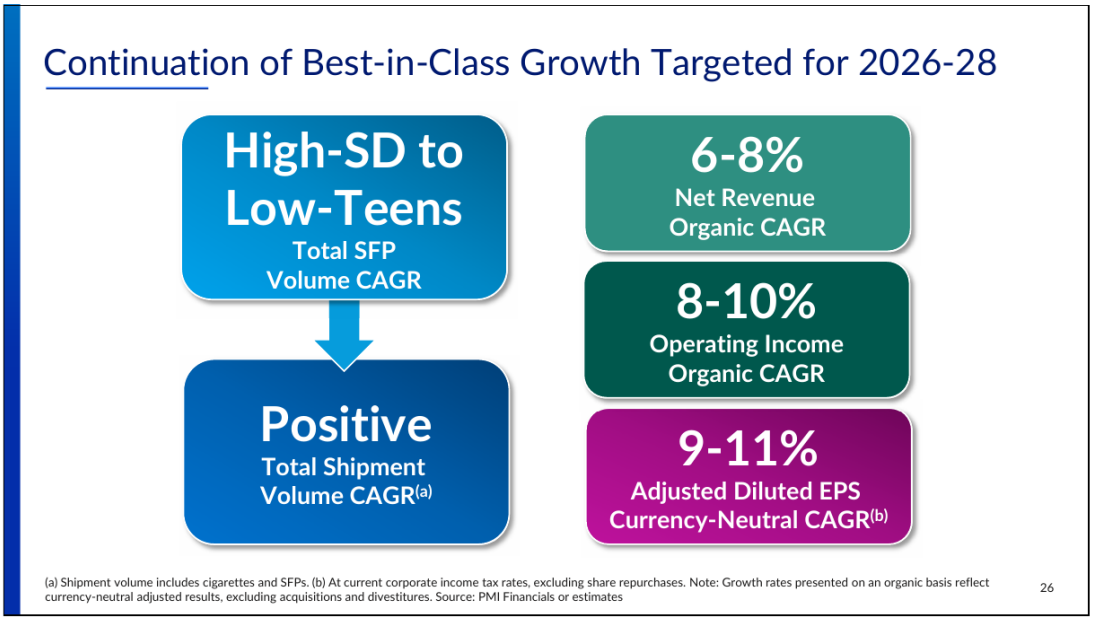




The original normalized 2025 chart illustrates the recurring-wallet mechanism. Its per-unit portfolio ratios are historical observations; future margins still require full costs. Source: PMI CAGNY presentation, February 18, 2026, PDF page 15.

The company's medium-term operating ambition





Management targets apply to organic or currency-neutral growth as specified. They calibrate the product build and are not added as a separate growth pool. Source: PMI CAGNY presentation, February 18, 2026, PDF page 13.

The operating build

The 2026 revenue and operating-profit levels below are model estimates, rather than exact company dollar guidance. The reference adjusted operating-profit bridge includes a bounded nominal currency assumption; it does not derive operating FX from the EPS currency benefit. Future marketing, administration, research, corporate expense and acquired amortization remain costs.

The 2026 reference operating forecast cross-checks to adjusted EPS of approximately 843 cents, inside the 835-850 cent guide. The Q3 proxy is 231 cents, inside the 229-234 cent guide. That cross-check assumes $960 million annual net interest, a tax rate of about 22% and $300 million after-tax noncontrolling/other adjustment. No exact nominal GAAP operating-profit figure was guided.

Management Q&A separates device electronics, manufacturing productivity and pricing as profit drivers. Japan consumers shifting from TEREA toward cheaper SENTIA can preserve customers while reducing mix. H1 smoke-free shipments ran above underlying sales, with reversal expected in H2; the forecast does not turn that timing benefit into recurring demand. Early ULTRA feedback covered only two weeks, limiting extrapolation.

Revenue vector	Confidence	Basis and boundary
International smoke-free	MEDIUM	H1 segment revenue/GP, HTU adoption and management organic growth targets. IQOS and VEEV are not separately disclosed.
International combustibles	MEDIUM	H1 segment controls, cigarette decline and net pricing/mix; excise is excluded.
United States	LOW	Reported US segment control; bounded pouch recovery and realized net revenue, retaining cigars, legacy oral and wellness.
US ILUMA launch	LOW	Separate joint regulatory and commercial outcome; no nationwide ILUMA ramp is embedded in the reference.

HIGH denotes a guided or contracted amount, MEDIUM a sourced extrapolation, and LOW a bounded capture or unit-economics estimate. Reported controls are actuals; future vector estimates remain conditional. The active forecasts combine complete outcomes with their associated costs.

2027 reference product	Revenue	COGS	GP margin	Marketing	Contribution
International smoke-free	17,215	5,113	70%	0	12,102
International combustibles	25,143	8,096	68%	0	17,047
United States	3,976	1,336	66%	0	2,640

2027 reference cost chain	USD million
Revenue	46,334
Manufacturing / product costs	14,545
Gross profit	31,789
Product marketing	0

2027 reference cost chain	USD million
Central commercial / administration costs	12,212
Other operating costs	1,046
Operating profit	18,531

PMI product marketing is included in the shared marketing, administration and research budget rather than assigned as a second cost to each product row. Acquired amortization and other operating charges remain in other operating costs. Product contribution before shared expense must not be read as consolidated operating profit.

Annual product cost and margin trajectories

The following decomposed product paths are reference assumptions before the commercial-outcome weighting. They show how manufacturing and commercial costs evolve, including weak or negative contribution where retained. Conditional incremental changes and active weighted totals appear separately below.

International smoke-free

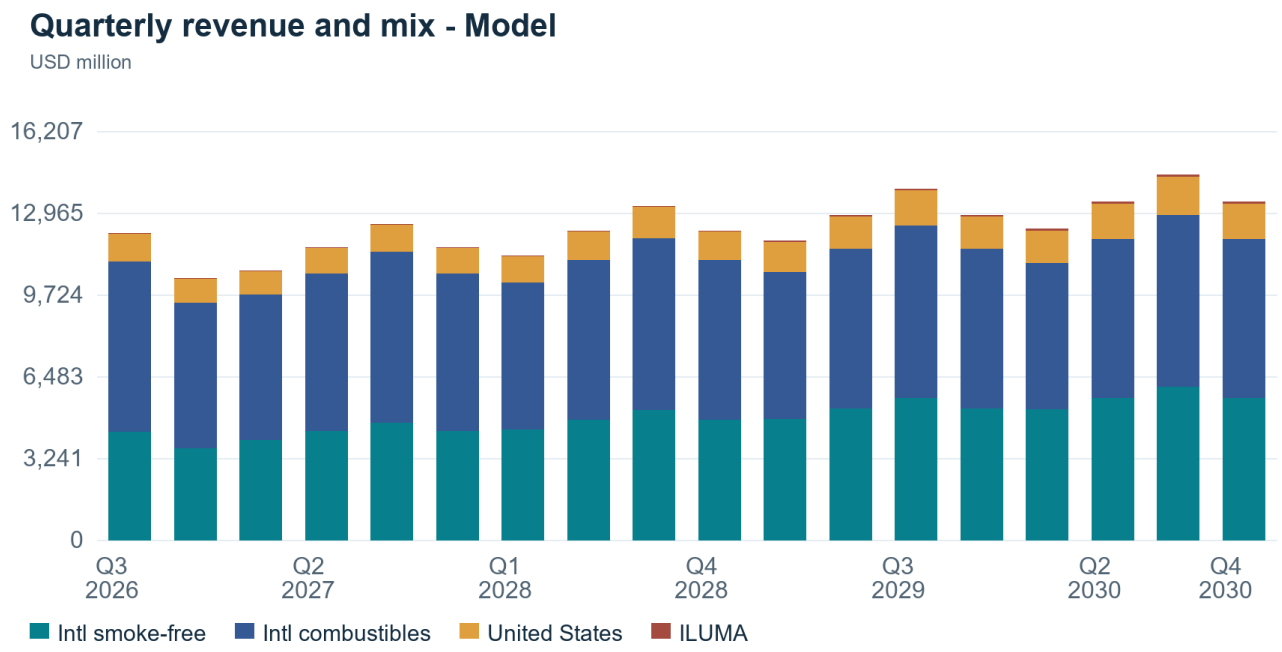
Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	15,650	4,695	10,955	70%	0	10,955
2027	17,215	5,113	12,102	70%	0	12,102
2028	18,936	5,567	13,369	71%	0	13,369
2029	20,641	6,006	14,634	71%	0	14,634
2030	22,292	6,420	15,872	71%	0	15,872

International combustibles

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	24,650	7,962	16,688	68%	0	16,688
2027	25,143	8,096	17,047	68%	0	17,047
2028	25,520	8,192	17,328	68%	0	17,328
2029	25,775	8,248	17,527	68%	0	17,527
2030	25,775	8,222	17,553	68%	0	17,553

United States

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	3,550	1,207	2,343	66%	0	2,343
2027	3,976	1,336	2,640	66%	0	2,640
2028	4,453	1,478	2,975	67%	0	2,975
2029	4,898	1,607	3,292	67%	0	3,292
2030	5,290	1,714	3,576	68%	0	3,576



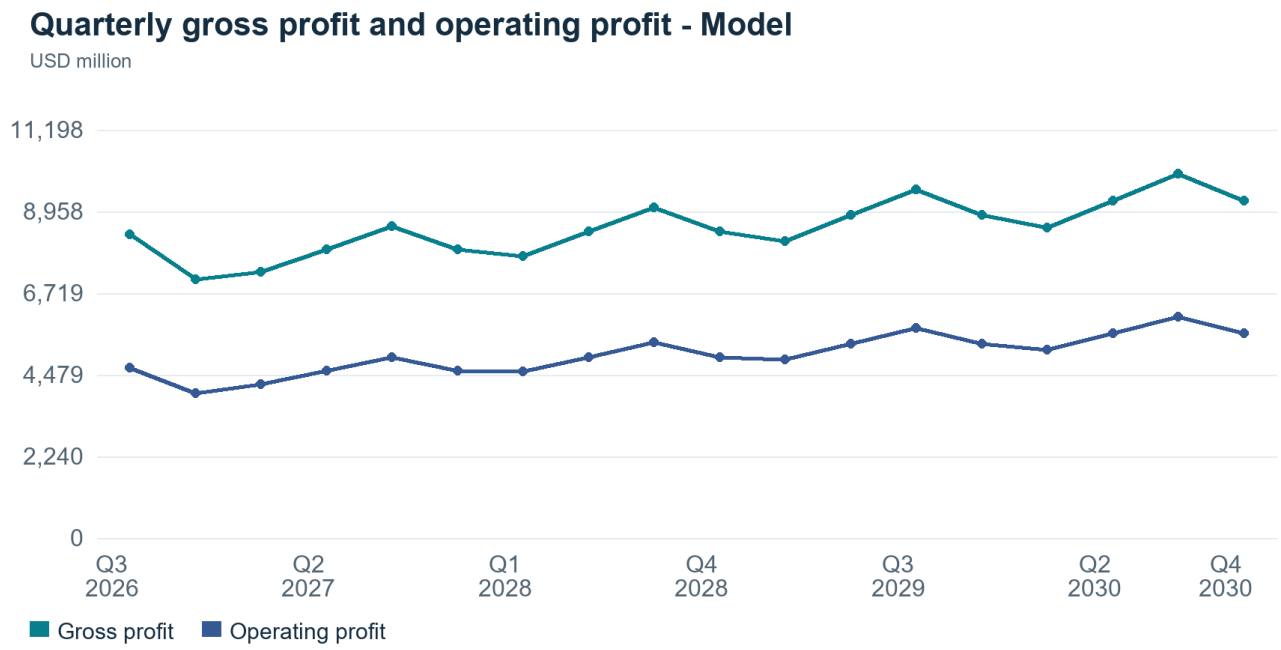
Probability-weighted active quarterly revenue. BAT quarters are model allocations; all displayed quarters are forecasts as of the research date.

Quarter	Intl smoke-free	Intl combustibles	United States	ILUMA	Total
Q3 2026	4,286	6,752	1,119	0	12,156
Q4 2026	3,651	5,751	953	0	10,356
Q1 2027	3,974	5,760	927	3	10,664
Q2 2027	4,319	6,261	1,007	3	11,591
Q3 2027	4,665	6,762	1,088	4	12,518
Q4 2027	4,319	6,261	1,007	3	11,591
Q1 2028	4,390	5,818	1,049	12	11,270

Quarter	Intl smoke-free	Intl combustibles	United States	ILUMA	Total
Q2 2028	4,772	6,324	1,141	14	12,250
Q3 2028	5,153	6,830	1,232	15	13,230
Q4 2028	4,772	6,324	1,141	14	12,250
Q1 2029	4,795	5,843	1,172	28	11,837
Q2 2029	5,212	6,351	1,273	30	12,866
Q3 2029	5,629	6,859	1,375	33	13,896
Q4 2029	5,212	6,351	1,273	30	12,866
Q1 2030	5,176	5,815	1,286	50	12,326
Q2 2030	5,626	6,321	1,397	54	13,398
Q3 2030	6,076	6,827	1,509	58	14,470
Q4 2030	5,626	6,321	1,397	54	13,398

Manufacturing, commercial expense and operating profit

Revenue less manufacturing and product costs gives gross profit. Product marketing, central costs and other operating costs are then deducted to reach the selected operating-profit basis. Changes in volume, price and margin travel through these same rows, so no gross revenue increment becomes profit without its cost burden.



The active operating-profit line retains manufacturing and support costs. The table below supplies the revenue, margin and expense chain for every quarter used by the ceiling windows.

Quarter	Revenue	COGS	Gross profit	Opex	OP	OP margin
Q3 2026	12,156	3,829	8,328	3,663	4,665	38%
Q4 2026	10,356	3,261	7,094	3,120	3,974	38%
Q1 2027	10,664	3,369	7,295	3,067	4,228	40%
Q2 2027	11,591	3,662	7,929	3,334	4,596	40%
Q3 2027	12,518	3,955	8,564	3,600	4,964	40%
Q4 2027	11,591	3,662	7,929	3,334	4,596	40%
Q1 2028	11,270	3,534	7,736	3,167	4,569	41%
Q2 2028	12,250	3,842	8,408	3,443	4,966	41%
Q3 2028	13,230	4,149	9,081	3,718	5,363	41%
Q4 2028	12,250	3,842	8,408	3,443	4,966	41%
Q1 2029	11,837	3,685	8,152	3,250	4,902	41%
Q2 2029	12,866	4,005	8,861	3,533	5,328	41%
Q3 2029	13,896	4,326	9,570	3,815	5,754	41%
Q4 2029	12,866	4,005	8,861	3,533	5,328	41%

Quarter	Revenue	COGS	Gross profit	Opex	OP	OP margin
Q1 2030	12,326	3,809	8,517	3,345	5,172	42%
Q2 2030	13,398	4,141	9,258	3,636	5,621	42%
Q3 2030	14,470	4,472	9,998	3,927	6,071	42%
Q4 2030	13,398	4,141	9,258	3,636	5,621	42%

Quarter - active	Product marketing	Central expense	Other operating costs	Total opex
Q3 2026	0	3,382	281	3,663
Q4 2026	0	2,881	239	3,120
Q1 2027	3	2,824	241	3,067
Q2 2027	3	3,069	262	3,334
Q3 2027	3	3,315	282	3,600
Q4 2027	3	3,069	262	3,334
Q1 2028	4	2,922	241	3,167
Q2 2028	5	3,176	262	3,443
Q3 2028	5	3,430	282	3,718
Q4 2028	5	3,176	262	3,443
Q1 2029	6	3,004	241	3,250
Q2 2029	6	3,265	262	3,533
Q3 2029	7	3,526	282	3,815
Q4 2029	6	3,265	262	3,533
Q1 2030	8	3,097	241	3,345
Q2 2030	8	3,366	262	3,636
Q3 2030	9	3,636	282	3,927
Q4 2030	8	3,366	262	3,636

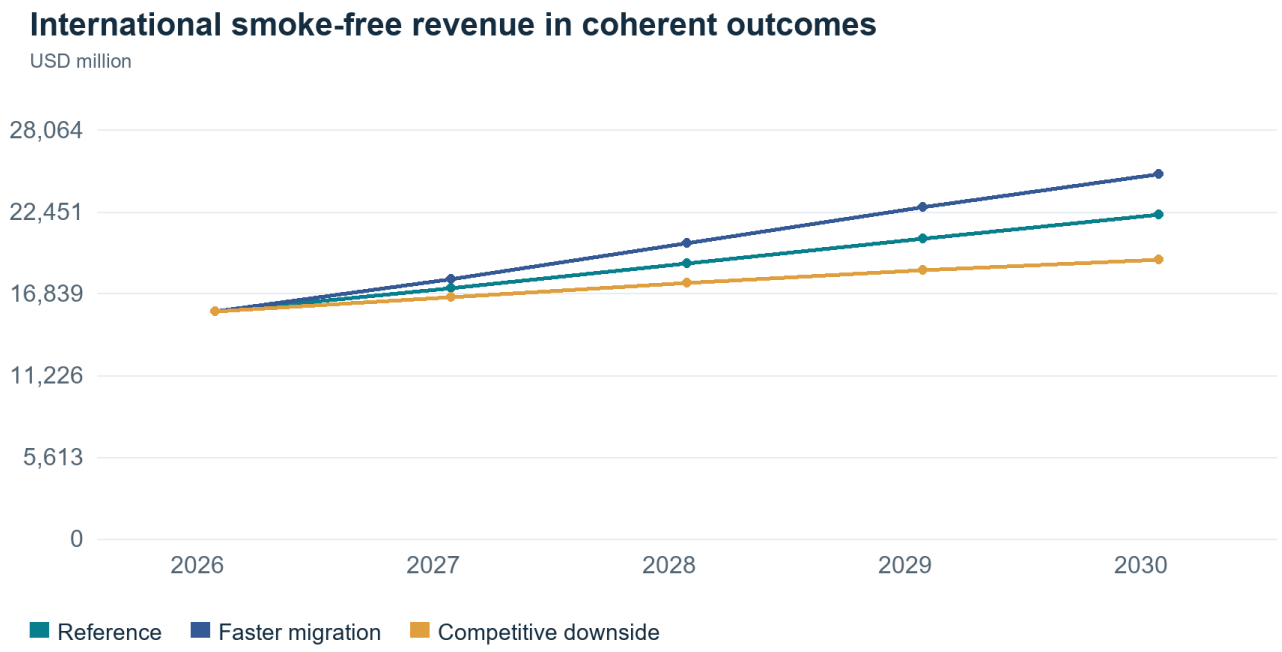
Numbers are rounded only for reading. Exact underlying calculations reconcile; a row may differ by one from independently rounded displayed components.

Annual active model	2026	2027	2028	2029	2030
Revenue	43,850	46,365	49,000	51,465	53,593

Annual active model	2026	2027	2028	2029	2030
Manufacturing / product costs	13,864	14,647	15,366	16,022	16,563
Gross profit	29,986	31,718	33,634	35,444	37,031
Operating expenses	12,924	13,334	13,770	14,131	14,545
Operating profit	17,062	18,383	19,864	21,312	22,486
Average diluted shares, million	1,560	1,562	1,565	1,568	1,571
Operating margin	39%	40%	41%	41%	42%

The main operating driver

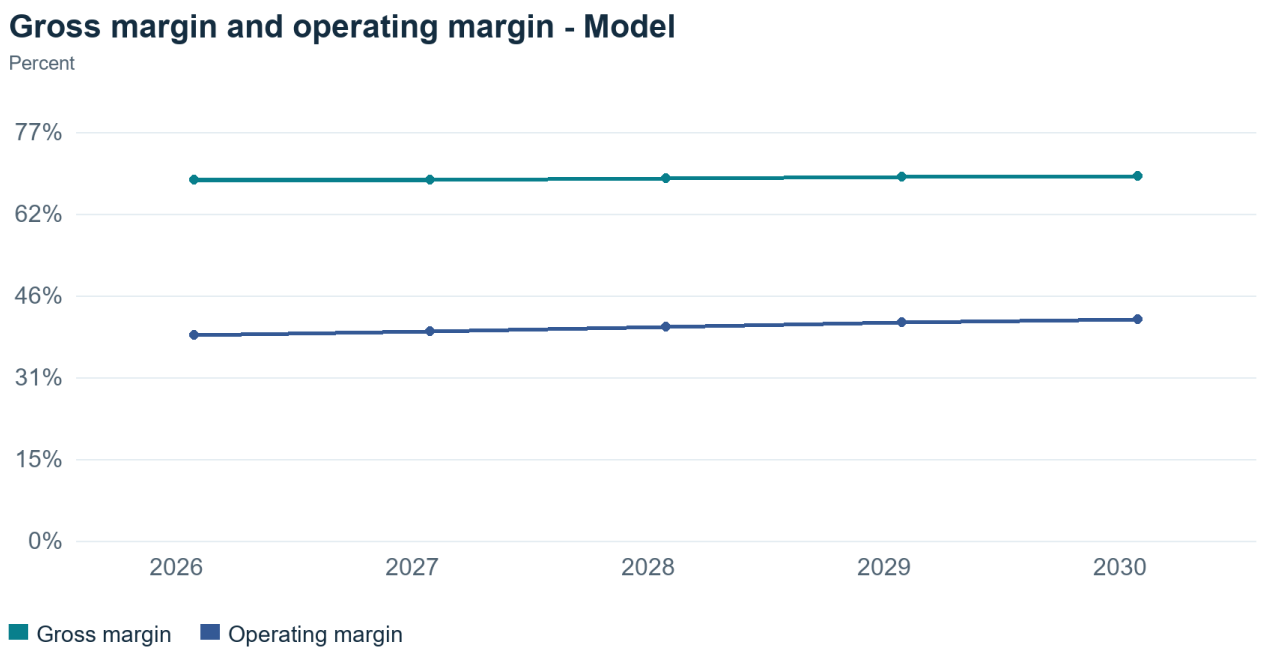
The main operating driver is adult conversion into higher-value recurring consumables. The reference path expands international smoke-free revenue, while the faster and slower conditional paths change only the capture actually defined in each outcome. The table is an annual reference and conditional comparison, rather than a second set of probability-weighted active results.



Annual reference and conditional driver paths. Company ambitions and reported controls are described beside the relevant assumptions; this chart does not add a second growth pool.

Annual model	2026	2027	2028	2029	2030
Reference	15,650	17,215	18,936	20,641	22,292
Faster migration	15,650	17,841	20,339	22,779	25,057

Annual model	2026	2027	2028	2029	2030
Competitive downside	15,650	16,589	17,584	18,464	19,202



Annual active margins, with all costs included on the selected profit basis.

Annual model	2026	2027	2028	2029	2030
Gross margin	68%	68%	69%	69%	69%
Operating margin	39%	40%	41%	41%	42%

Probability, incremental economics and overlap

The faster migration outcome carries a 30% probability, competitive downside 20%, and reference 50%. These mutually exclusive commercial outcomes sum to 100%. Incremental sales, manufacturing costs and marketing/central costs are calculated against the same reference; the probability is applied once to each complete outcome.

US ILUMA has a separate 30% joint probability covering authorization, launch, retail deployment and paid consumable use. The reference excludes a nationwide ramp. The conditional branch deducts 10% displacement of PMI's own ZYN/other US products and includes device/manufacturing, launch and support costs. Early commercial losses remain negative rather than being erased.

No extra revenue is added for CAGNY's market-growth targets, installed production capacity or a 15-to-20-pouch can transition. The migration case already captures category conversion, and the US recovery case already captures the new portfolio and promotion mix. Counting cans and individual pouches as independent demand would duplicate the same consumption.

Accelerated migration

Evidence dated 2026-09-08: PM Q2 July 22 management discussion; September 8 Barclays presentation; CAGNY 2026 targets. The assigned probability is 30%. International shipment and gross-profit evidence is strong, but US consumer offtake is flat, share is contested and 20-pouch pricing can dilute receipts per pouch.30% weights this specific stronger economic outcome, not the authenticity of guidance.

Conditional outcome: International smoke-free grows 14% in 2027/28 and US net revenue recovers 25% then 20%, with additional commercial spending and production costs.

What changes the weight: Raise weight on sustained consumer offtake, net receipts per pouch and incremental GP after commercial costs. Reduce on continued share loss, delayed Colorado cost recovery or Japan tax disruption.

Competitive downside

Evidence dated 2026-07-22: PM July 22 Q2 management discussion and September 8 product update. The assigned probability is 20%. Flat US offtake, expanding competing portfolios and lower net price per pouch support a 20% adverse joint outcome. This is mutually exclusive with accelerated migration.

Conditional outcome: US net revenue stays flat in 2027 and international smoke-free grows 6%, while pricing/mix and marketing costs worsen.

What changes the weight: Reduce weight on sustained repeat purchase with recovered margins; increase on lower manufacturer realization, repeated share losses or adverse restrictions.

US ILUMA commercial ramp

Evidence dated 2026-09-08: PM September 8 product update; FDA separate IQOS orders and pendingILUMA status. The assigned probability is 30%. 30% is a joint legal, technical and commercial realization judgment. Existing older-product pilots are not nationwide ILUMA awards. This cohort is absent from reference US revenue.

Conditional outcome: Separate US ILUMA sales ramp from 50 million in 2027 to 800 million in 2030, conditional on authorization, rollout and paid repeat use. Own-US-product displacement 10%, manufacturing GP 50% before lost-product GP, incremental launch/support 40 million→110 million.

What changes the weight: Increase with an applicable FDA order, dated commercial availability and repeat purchases; decrease after launch delays, unfavorable device costs or weak consumable retention.

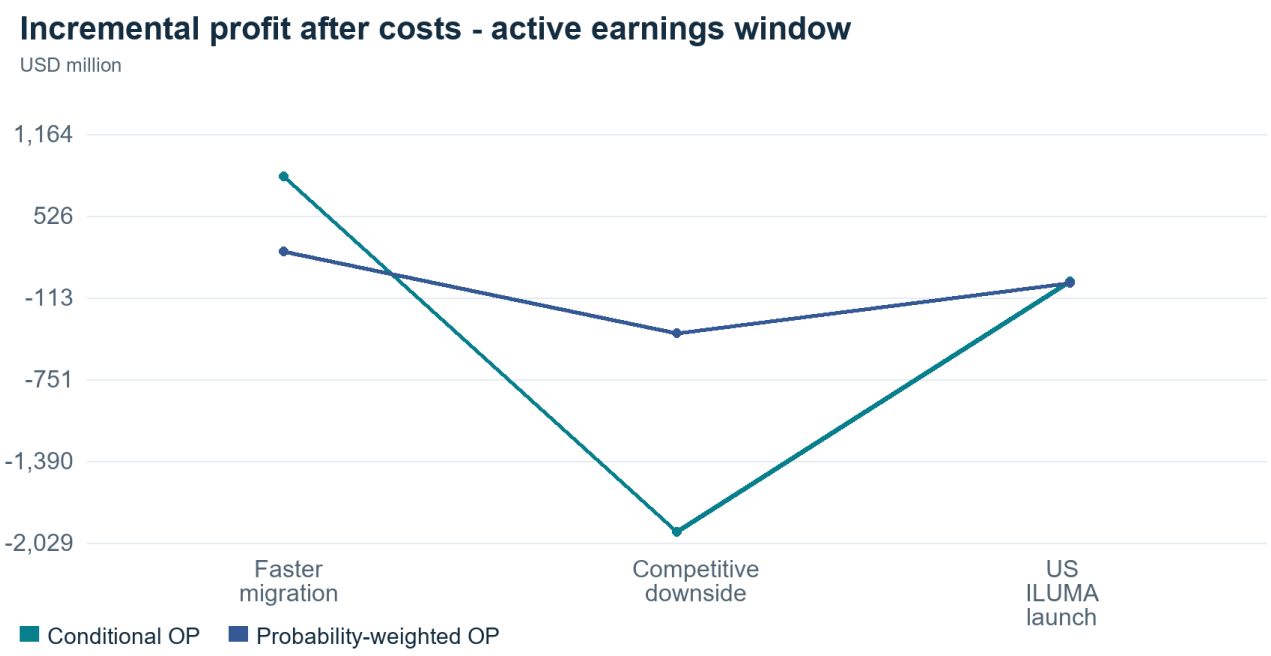
Coherent commercial outcome	Probability
Reference	50%
Faster migration	30%
Competitive downside	20%
Total	100%

Incremental bridge for Q4 2027 through Q3 2028. Amounts below are USD million. Conditional changes are measured above the existing reference and include related cost changes. A negative expense change is a cost reduction, not extra

revenue.

Outcome	p	Conditional revenue	Conditional COGS	Conditional GP	Conditional opex	Conditional OP
Faster migration	30%	+1,977	+586	+1,391	+560	+831
Competitive downside	20%	-2,809	-383	-2,425	-480	-1,945
US ILUMA launch	30%	+146	+76	+71	+59	+12

Active bridge	Revenue	COGS	GP	Opex	OP
Reference	48,266	15,065	33,201	13,571	19,630
Faster migration weighted	+593	+176	+417	+168	+249
Competitive downside weighted	-562	-77	-485	-96	-389
US ILUMA launch weighted	+44	+23	+21	+18	+4
Active total	48,341	15,186	33,155	13,661	19,494



Positive and negative outcomes are preserved. Probability-weighted increments are conditional increments multiplied once by the stated probability.

Outcome	Conditional OP	Weighted OP
Faster migration	+831	+249
Competitive downside	-1,945	-389

Outcome	Conditional OP	Weighted OP
US ILUMA launch	+12	+4

Timing, assumptions and zero-addition decisions

The reference contains existing business and ordinary category growth. A zero overlap field in the arithmetic means overlap has already been removed through the coherent outcome, named product boundary or explicit displacement rule; it does not mean competitors can all gain the same share without an offset. No separate increase is added for a headline already captured by those operating assumptions.

The can redesign receives zero independent demand increment because the modeled wallet tracks retained consumption and realization rather than pack count. US ILUMA receives a bounded nonzero probability despite unresolved authorization; the costs and initial losses remain included. Exact IQOS/VEEV and US pouch gross margins are unavailable, so the disclosed segment pools control the forecast.

Sensitivity to the stated probabilities

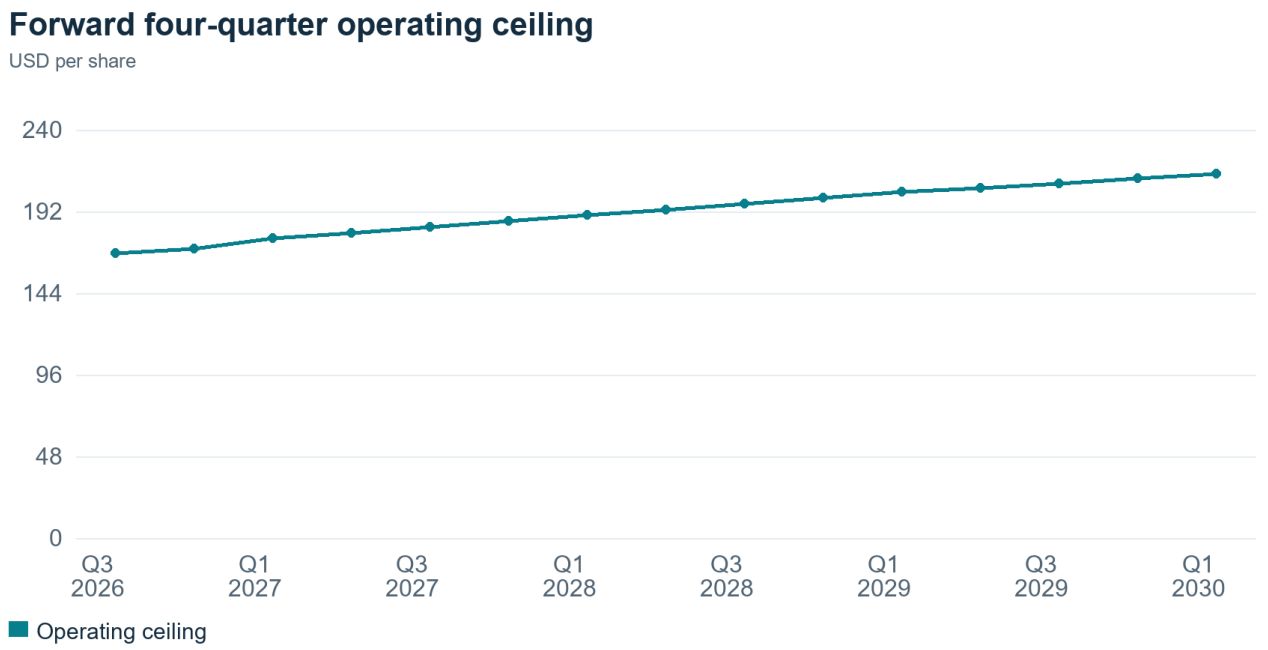
Outcome	Current p	Ceiling at zero p	Ceiling at p + 10 points	Conditional OP delta
Faster migration	30%	$185	$188	831
Competitive downside	20%	$191	$185	-1,945
US ILUMA launch	30%	$187	$187	12

These sensitivities vary one stated probability while holding the other operating assumptions fixed and shifting the remaining reference weight consistently. They expose uncertainty rather than adding a separate ceiling probability haircut.

The fifteen forward four-quarter operating ceilings

Each ceiling capitalizes the operating profit earned in the exact four-quarter window shown below. Quarterly revenue less costs produces operating profit; the four quarters are summed, multiplied by the company-specific multiple and divided by average diluted shares. The active window is Q4 2027 through Q3 2028.

The initial 15x GAAP operating-profit multiple is a new coverage assumption reflecting the business mix, competitive position and risk. It capitalizes operating profit rather than enterprise cash flow. Debt, financing costs and nonoperating assets are disclosed as funding constraints; dividends and financial investments are not added to this operating ceiling.



All fifteen ceilings share the stated method and each uses its own exact earnings window. The numerical table immediately below provides the profit, multiple and diluted-share chain.

Ceiling quarter	Exact earnings window	F4Q OP	Multiple	Diluted shares, million	USD ceiling
Q3 2026	Q3 2026 through Q2 2027	17,463	15x	1,561	$168
Q4 2026	Q4 2026 through Q3 2027	17,761	15x	1,561	$171
Q1 2027	Q1 2027 through Q4 2027	18,383	15x	1,562	$177
Q2 2027	Q2 2027 through Q1 2028	18,724	15x	1,563	$180
Q3 2027	Q3 2027 through Q2 2028	19,094	15x	1,564	$183
Q4 2027	Q4 2027 through Q3 2028	19,494	15x	1,564	$187
Q1 2028	Q1 2028 through Q4 2028	19,864	15x	1,565	$190
Q2 2028	Q2 2028 through Q1 2029	20,197	15x	1,566	$193
Q3 2028	Q3 2028 through Q2 2029	20,559	15x	1,567	$197
Q4 2028	Q4 2028 through Q3 2029	20,950	15x	1,567	$200
Q1 2029	Q1 2029 through Q4 2029	21,312	15x	1,568	$204
Q2 2029	Q2 2029 through Q1 2030	21,582	15x	1,569	$206
Q3 2029	Q3 2029 through Q2 2030	21,876	15x	1,570	$209
Q4 2029	Q4 2029 through Q3 2030	22,192	15x	1,571	$212

Ceiling quarter	Exact earnings window	F4Q OP	Multiple	Diluted shares, million	USD ceiling
Q1 2030	Q1 2030 through Q4 2030	22,486	15x	1,571	$215

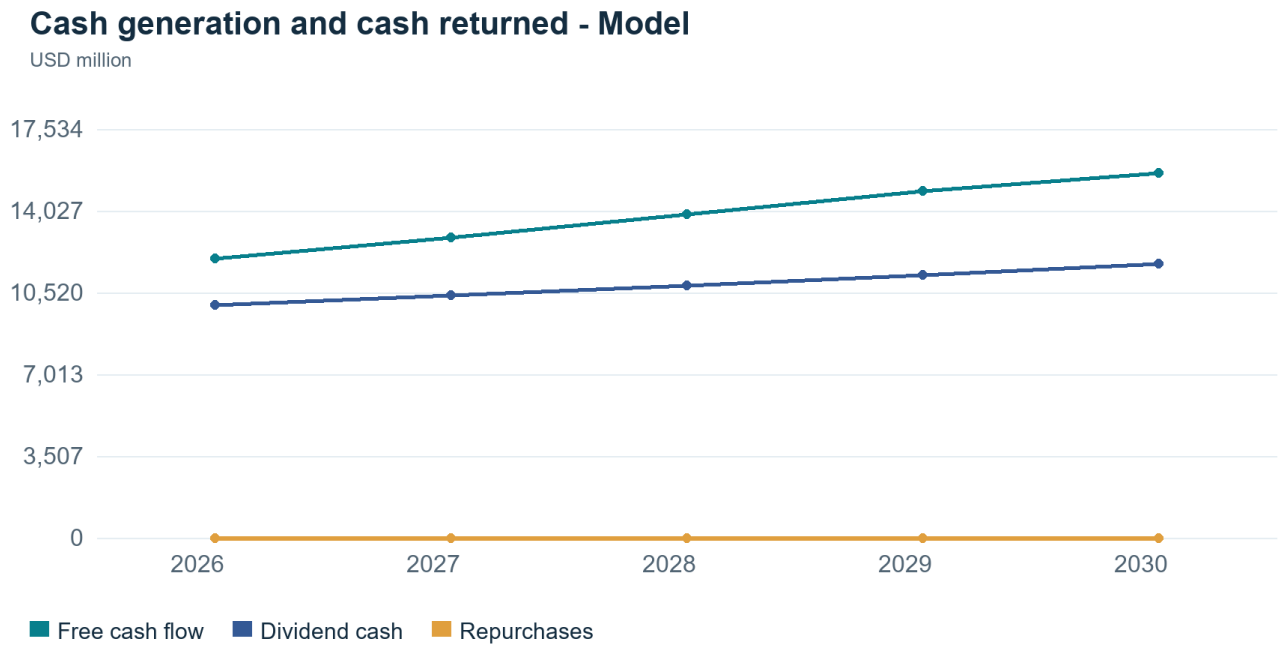
The average diluted share count follows the model's company-specific schedule. A 5% higher share denominator, with identical profit and FX, lowers each ceiling by approximately 5%; a 5% lower denominator raises it by approximately 5%. No repurchase-driven upside is added beyond the funded share convention.

Funding, dividends and debt

FY2025 operating cash flow less capex was $10,664 million against $8,624 million cash dividends. H1 2026 free cash flow was $4,360 million against $4,604 million dividends. Working-capital seasonality prevents a simple doubling of the first-half deficit.

June gross debt was $49,113 million and cash $5,999 million, giving plain net debt of $43,114 million. About $2,800 million of cash was in Russia and is less readily deployable. Company guidance includes no 2026 repurchases; the model does not assume later buybacks either. Diluted shares modestly rise after 2026.

The annual cash projection begins with guided operating cash flow and modeled capex, then uses a cautious cash-conversion proxy. Dividend cash uses an annualized run rate, rather than the historical payment calendar. Retained cash reduces projected debt; no acquisition, currency-driven debt movement or asset-sale proceeds are invented.



Free cash flow is a low-confidence cash-conversion model. Dividend cash uses annualized rate assumptions; it differs from an exact payment-calendar forecast.

Year	FCF	Dividends	Buybacks	Retained cash	FCF / dividend	Net debt
2026	12,000	9,984	0	2,016	120%	40,854
2027	12,885	10,396	0	2,489	124%	38,365
2028	13,883	10,834	0	3,050	128%	35,316
2029	14,865	11,290	0	3,575	132%	31,741
2030	15,655	11,765	0	3,890	133%	27,850

Projected net debt begins at the June balance and deducts only the remaining modeled second-half cash retained, after reconciling actual first-half distributions. Later cash retention then reduces debt. This is a funding cross-check with no modeled debt FX, acquisitions or asset sales. It does not change the operating-profit capitalization formula.

Scorecard and thesis quality

The framework evaluates the quality of the investment mechanism as well as its profit trajectory. This company receives credit for a branded recurring-consumption franchise and the specified growth vectors. It receives no AI adjacency or scarcity premium. The score below is the analytical score for this coverage, separate from individual outcome probabilities.

Category	Points	Maximum	Reason
Core Thesis	14	20	IQOS ecosystem, brands, distribution and authorizations create barriers. Consumers have competing nicotine systems and there is no indispensable supply bottleneck.
Cycle Stage	7	10	International smoke-free is scaling; US ZYN is recovering competitively, while cigarettes are mature.
TAM Expansion	6	10	Adult switching, oral products and new legal markets expand capture within nicotine. No AI or unrelated market credit.
Catalysts	4	5	October 21 results, Q4 pack transition, Colorado scaling, Japan tax response and US regulatory decisions.
Macro	6	10	Migration toward smoke-free and pricing support economics; excise, affordability and restricted markets offset them.
Alpha	2	5	Widely researched. The edge is separating product wallets, cost timing and pouch-count definitions.
Risks	-4	Penalty	Four risk classes: regulation/litigation, consumer competition and cannibalization, manufacturing/commercial execution, and leverage/restricted cash.

Score arithmetic: 14 + 7 + 6 + 4 + 6 + 2 + (-4) = 35 points out of 60; scaled and rounded to 58 out of 100. Framework result: Fail. All three tobacco companies score below 65; an indispensable bottleneck has not been demonstrated.

Risks and tests that could change the thesis

Risk	Evidence and operating test
US pouch economics	Q2 offtake was flat to slightly growing while the category expanded. The 20-pouch transition, ULTRA and promotion can reduce revenue per pouch. Watch repeat purchase and net revenue per individual pouch.
US regulatory scope	FDA authorization covers named products. The original 20 flagship ZYN variants have a specific modified-risk claim; that claim does not automatically extend to ULTRA. The nationwide ILUMA authorization and launch remain a joint conditional outcome.
Japan and Europe	Excise changes can shift shipments across quarters. Pantry loading, shipment growth and adjusted in-market sales measure different things. Country flavour and marketing rules limit the addressable wallet.
Funding and execution	Factory utilization, device subsidies, recurring amortization, Russia cash restrictions and legal outcomes can weaken cash conversion despite healthy adjusted EPS.

Dated catalysts

Timing	Test
October 21, 2026	Q3 release: individual pouch offtake, US costs, IQOS momentum, Japan tax response and ILUMA status.
Q4 2026	20-pouch flagship transition; compare unit realization and retained consumers with promotional spending.
2027 onward	Colorado utilization and operating-cost leverage; authorized ILUMA commercial milestones rather than announcement alone.

Cross-company implications

PMI ZYN, BAT Velo and Altria on! compete for the same US oral-nicotine wallet. An extra share point captured by one supplier may be lost by another; it cannot be treated as independent industry expansion in every model. PMI IQOS also competes with BAT glo and Japan Tobacco Ploom, while legal vapour competes with JUUL and illicit products. Company distribution, consumer retention, actual realization and cost data must separate shared category growth from share transfer.

Within this three-company review, PMI has the broadest established international smoke-free profit pool, BAT combines cigarette cash with a fast modern-oral ramp, and Altria remains most dependent on a shrinking US cigarette and legacy-oral base. Those are business-mix distinctions rather than price-dependent rankings. Each report retains its own operating-profit basis, multiple, funding burden and diluted-share convention.

Sources and evidence boundaries

Reported figures come from company filings, releases and official presentations. Management forecasts remain attributed ambitions; future operating outcomes and probabilities are model judgments. Original exhibits retain their dates, units, footnotes and published precision. Authored tables use whole-number presentation while the calculation file retains exact precision.

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